

POOOL Affiliate Tax SOP

Phase 1 – Finance / Operations Internal SOP

Effective Date: [DATE]

Owner: [FINANCE OWNER]

Supporting Teams: Affiliate Operations, Compliance, Legal/Tax Review, Product/Engineering, Support

1. Purpose

This SOP governs the tax-side handling of affiliate payouts under the POOOL Affiliate Program.

Its purpose is to ensure that:

- affiliate commissions are not released as uncontrolled transfers,
- recipient type is identified before payout,
- tax-sensitive payout cases are routed through the correct review path,
- withholding and reporting checkpoints are documented,
- exception cases are escalated rather than improvised,
- post-payout correction issues are handled through a controlled process,
- and payout records are maintained in an audit-ready format.

This SOP is an internal finance and operations control document. It is not intended to determine final legal tax treatment, final withholding positions, treaty outcomes, or jurisdictional conclusions. Those items remain subject to legal/tax review.

2. Scope

This SOP applies to:

- all affiliate commissions,
- all referral-based payouts,
- all manual commission adjustments that may become payable,
- all payout batches involving Affiliate recipients,
- all payout holds and tax-readiness blocks,
- all reversal, offset, or clawback cases that affect tax or reporting treatment,
- and all post-payout review or correction events involving affiliate payouts.

This SOP applies before first payout, during normal payout cycles, and during post-payout review or correction events.

3. Core Rule

No affiliate payout may be released unless all of the following are complete:

1. the commission is already **Payable** under the Qualified Referral & Payout Policy;
2. the Affiliate's payout profile is complete;
3. the Affiliate's tax profile is complete;
4. the recipient has been classified into the correct operational payout/tax category;
5. required withholding/review checkpoints have been completed;
6. no unresolved exception, compliance block, reversal hold, or other payout-blocking issue remains open;
7. finance has approved payout release in the system of record.

If any one of these is incomplete, the payout must remain blocked.

4. Operating Principles

4.1 No complete file, no payout

Incomplete payout files or tax files must block payout release.

4.2 Classification before release

Every payout recipient must be classified before the commission enters the final release stage.

4.3 Finance-controlled withholding/review

Withholding/review decisions must be made through a controlled finance workflow, not informal case-by-case improvisation. **[LEGAL REVIEW REQUIRED]**

4.4 Auditability

Finance must be able to evidence:

- who was paid,
- in what class,
- on what file basis,

- under what withholding/review path,
- with what approval,
- and whether any later correction or hold applied.

4.5 Exception control

Where classification, residency, tax status, document sufficiency, beneficiary alignment, or reporting treatment is unclear, the payout must be escalated and held until resolved.

4.6 Dashboard visibility is not release authority

A commission appearing in a dashboard or internal status view does not authorize payout release.

5. Definitions

For purposes of this SOP:

“Payout Profile” means the required payout-method, beneficiary, and destination data needed to process an affiliate payout.

“Tax Profile” means the required tax-related data, declarations, document status, classification indicators, and review fields needed to process an affiliate payout under the approved finance workflow.

“Recipient Class” means the operational payout/tax category assigned to the Affiliate recipient for payout-review purposes.

“Tax-Ready” means the status indicating that the tax-side review required for payout release has been completed and approved.

“Payout-Ready” means the status indicating that the payout-side review required for release has been completed and approved.

“Exception Case” means a payout case that cannot be processed under the standard workflow and must be escalated.

“Post-Payout Correction” means a controlled finance review triggered after payout release because of classification error, documentation deficiency, withholding/review error, reversal-linked commission issues, or similar material concerns.

6. Relationship to Other Program Documents

6.1 This SOP governs:

- tax-related data collection,
- recipient classification workflow,
- withholding/review checkpoints,
- payout blocking logic from a tax-readiness perspective,
- finance approval steps,
- exception handling,
- reporting readiness,
- and post-payout tax-side correction handling.

6.2 This SOP does not by itself determine:

- whether a referral is qualified,
- whether a commission is contractually owed,
- full suspension / clawback authority,
- final tax-law treatment,
- treaty entitlement,
- or full privacy-law analysis.

6.3 Those matters remain governed by:

- the Affiliate Terms & Conditions,
- the Qualified Referral & Payout Policy,
- the Monitoring / Suspension / Clawback framework,
- privacy and retention controls,
- and legal/tax review where required.

7. Recipient Classification Workflow

7.1 Required operational recipient classes

For launch, every Affiliate payout recipient must be classified into one of these three operational categories:

A. Indonesian Individual

Use where the payout recipient is handled as an Indonesian natural person for payout/tax workflow purposes.

B. Indonesian Entity

Use where the payout recipient is handled as an Indonesian domestic company, business, or other domestic legal/business recipient for payout/tax workflow purposes.

C. Foreign Recipient

Use where the payout recipient is not handled as an Indonesian domestic individual or Indonesian domestic entity for payout/tax workflow purposes.

7.2 Classification rule

The assigned category must be based on the information and documents collected in the payout/tax profile and reviewed by finance under the approved classification workflow. **[LEGAL REVIEW REQUIRED]**

7.3 No mixed-status payout without review

If the Affiliate's profile contains inconsistent indicators, such as:

- unclear residency,
- unclear recipient type,
- changed payout beneficiary,
- mismatch between entity/person and tax data,
- mismatch between Affiliate identity and payout beneficiary,
- or incomplete documentation,

the payout must not proceed until the category is resolved. **[LEGAL REVIEW REQUIRED]**

7.4 Change-of-status rule

If an Affiliate changes:

- payout beneficiary,
- country / residency,
- recipient type,
- business structure,
- tax-relevant document set,
- or other tax-relevant data,

future payouts must be paused until the file is re-reviewed and re-approved. **[LEGAL REVIEW REQUIRED]**

8. Required Data Collection Fields

8.1 Core identity / recipient fields

Collect at minimum:

- Affiliate ID,
- full legal name or entity legal name,
- display name if different,
- recipient type selection,
- country / residency,
- contact email,
- contact phone if required internally.

8.2 Payout beneficiary fields

Collect at minimum:

- payout beneficiary name,
- payout method type,
- payout destination details,
- payout currency if applicable,
- beneficiary country,
- beneficiary ownership / relationship confirmation where required. **[LEGAL REVIEW REQUIRED]**

8.3 Tax-profile fields

Collect at minimum:

- tax classification category,
- individual vs entity status,
- domestic vs foreign status,
- tax identification details where required,
- residency-related declaration where required,
- withholding / treaty review flag where applicable. **[LEGAL REVIEW REQUIRED]**

8.4 Supporting document fields

Collect or record where required:

- supporting identity / tax document status,

- document received date,
- document expiry date if relevant,
- document review status,
- finance review notes,
- escalation status.

8.5 Operational readiness fields

The system of record should capture at minimum:

- payout-ready status,
- tax-ready status,
- classification-approved status,
- withholding-review status,
- exception flag,
- payout hold flag,
- review owner,
- final approval timestamp,
- payout batch reference if assigned.

8.6 Data sufficiency rule

A field marked mandatory for the relevant Recipient Class must be complete before payout may be released.

9. Required Review Workflow Before Payout Release

Step 1 — Commission payable check

Finance confirms the commission is already marked **Payable** under the Qualified Referral & Payout Policy.

If not payable, tax review may proceed for readiness purposes, but payout release must not occur.

Step 2 — Payout profile check

Finance or operations confirms:

- payout method is complete,
- beneficiary details are complete,
- no payout-block flag exists at face level,

- and no obvious mismatch appears on the file.

Step 3 — Recipient classification check

Finance assigns or confirms the Recipient Class:

- Indonesian Individual,
- Indonesian Entity,
- or Foreign Recipient.

Step 4 — Tax data sufficiency check

Finance confirms that all required tax-related fields and supporting items for that class are present and internally acceptable.

Step 5 — Withholding / review checkpoint

Finance routes the case through the applicable withholding/review path for that class.

This step must be documented even where the result is “no additional withholding action required under the approved framework.” **[LEGAL REVIEW REQUIRED]**

Step 6 — Exception / escalation screening

Finance checks whether any exception issue exists, including:

- unclear classification,
- incomplete data,
- treaty-sensitive issue,
- foreign-recipient uncertainty,
- beneficiary mismatch,
- changed status,
- reversal/clawback overlap,
- compliance block,
- or other material uncertainty.

Step 7 — Release approval

If all checks pass, finance marks:

- tax-ready = yes,
- payout-ready = yes,
- release approved = yes.

Only then may the commission enter the payout batch for release.

10. Withholding / Review Checkpoints

10.1 General checkpoint rule

Before release, every payout must pass a withholding/review checkpoint appropriate to the Recipient Class.

10.2 Indonesian Individual checkpoint

Finance must confirm that the payout has been reviewed under the domestic-individual handling path selected by POOOL's approved tax framework.

The baseline supports that this may involve PPh 21 / 26 review depending on final treatment. **[LEGAL REVIEW REQUIRED]**

10.3 Indonesian Entity checkpoint

Finance must confirm that the payout has been reviewed under the domestic-entity handling path selected by POOOL's approved tax framework.

The baseline supports that this may involve PPh 23 review for certain domestic entity/service-type handling. **[LEGAL REVIEW REQUIRED]**

10.4 Foreign Recipient checkpoint

Finance must confirm that the payout has been reviewed under the foreign-recipient handling path selected by POOOL's approved tax framework.

The baseline supports that this may involve PPh 26 review, subject to treaty-sensitive questions. **[LEGAL REVIEW REQUIRED]**

10.5 Documentation of checkpoint outcome

For each payout reviewed, finance should record:

- Recipient Class,
- review path used,
- whether withholding review was completed,
- whether escalation was triggered,
- whether payout was approved, held, denied, or escalated.

11. Payout Blocking Rules

Payout must remain blocked where any of the following applies:

- payout profile incomplete,
- tax profile incomplete,
- Recipient Class not confirmed,
- withholding/review not completed,
- finance approval missing,
- exception flag unresolved,
- compliance freeze active,
- clawback hold active,
- reversal issue unresolved,
- related legal/privacy/tax escalation unresolved,
- affiliate not payout-eligible under separate Program controls. **[LEGAL REVIEW REQUIRED]**

There should be no informal override outside an approved escalation and approval path.

12. Exception Handling

12.1 When to open an Exception Case

Open an Exception Case if any of the following occurs:

- unclear or conflicting residency information,
- unclear individual vs entity status,
- foreign recipient with incomplete supporting data,
- mismatch between Affiliate profile and payout beneficiary,
- changed tax status after prior approval,
- repeated resubmission failures,
- payout already scheduled before tax review completion,
- post-payout correction issue,
- treaty-sensitive question,
- unusual cross-border structure,
- or any other case finance cannot process under the standard workflow. **[LEGAL REVIEW REQUIRED]**

12.2 Exception handling steps

1. place payout on hold;
2. open Exception Case ID;
3. record the unresolved issue and reason code;
4. request additional data/documents if needed;
5. escalate to legal/tax reviewer if required;
6. document the final resolution;
7. only then release, continue hold, deny payout, or route into correction handling.

12.3 No forced payout rule

Commercial pressure, Affiliate status, payout age, or batch timing must not force release where the file is not clean.

13. Post-Payout Corrections

If a payout is later found to involve:

- incorrect classification,
- missing tax documentation,
- withholding/review error,
- reversal-linked commission basis,
- post-release discovery of beneficiary mismatch,
- or other material tax/payout issue,

finance must open a Post-Payout Correction case and determine whether:

- no action is needed,
- future payout should be blocked,
- correction entry is needed,
- offset should be applied,
- clawback review should be initiated,
- or legal/tax escalation is required. **[LEGAL REVIEW REQUIRED]**

Paid status does not by itself prevent later correction where material error or a linked disqualifying issue is later identified.

14. Workflow by Recipient Class

14.1 Indonesian Individual Workflow

1. collect individual payout and tax fields;

2. verify data completeness;
3. confirm classification as Indonesian Individual;
4. route through domestic-individual withholding/review checkpoint;
5. resolve any missing-data or mismatch issue;
6. mark tax-ready if approved;
7. allow payout release only after full finance approval. **[LEGAL REVIEW REQUIRED]**

14.2 Indonesian Entity Workflow

1. collect entity payout and tax fields;
2. verify legal entity and beneficiary data consistency;
3. confirm classification as Indonesian Entity;
4. route through domestic-entity withholding/review checkpoint;
5. resolve any entity-document or classification issue;
6. mark tax-ready if approved;
7. allow payout release only after full finance approval. **[LEGAL REVIEW REQUIRED]**

14.3 Foreign Recipient Workflow

1. collect foreign-recipient payout and residency-related data;
2. verify completeness of foreign-recipient profile;
3. confirm classification as Foreign Recipient;
4. route through foreign-recipient withholding/review checkpoint;
5. assess whether treaty-sensitive or cross-border escalation is required;
6. hold payout until resolved where required;
7. mark tax-ready only after review is complete. **[LEGAL REVIEW REQUIRED]**

15. Approval Matrix

POOOL should maintain an internal approval matrix covering at minimum:

- standard domestic-individual payout approvals,
- standard domestic-entity payout approvals,
- standard foreign-recipient payout approvals,
- Exception Cases,
- Post-Payout Corrections,
- clawback / tax-overlap cases. **[LEGAL REVIEW REQUIRED]**

At minimum, the system should identify:

- preparer,
- reviewer,
- approver,
- escalation owner,
- final release owner.

16. Reporting Readiness and Period-End Controls

16.1 Core readiness objective

Finance must be able to produce a clean year-end or reporting-period view of affiliate payouts by Recipient Class and review status.

16.2 Minimum reporting readiness checklist

Before year-end close or reporting cycle close, confirm:

- all paid Affiliates are classified,
- all payout files are complete,
- all blocked payouts are tagged with reason codes,
- all foreign-recipient cases are clearly identified,
- all Exception Cases are clearly marked open or closed,
- all payout registers reconcile to the commission ledger,
- all withheld/reviewed cases are identifiable,
- all reversal and clawback cases are separately tagged,
- supporting files are retrievable,
- finance sign-off records are complete. **[LEGAL REVIEW REQUIRED]**

16.3 Reporting files

Maintain at minimum:

- payout register,
- Recipient Class list,
- tax-ready status report,
- Exception Case report,
- blocked-payout report,
- reversal/clawback report,
- supporting-document availability status. **[LEGAL REVIEW REQUIRED]**

16.4 Audit-readiness rule

Finance should be able to answer, for each paid Affiliate:

- who was paid,
- in what class,
- under what review path,
- on what approval basis,
- whether any later correction, hold, or recovery issue applied.

17. Recordkeeping and Evidence Standards

For each payout reviewed under this SOP, retain:

- Affiliate ID,
- Recipient Class,
- payout beneficiary details,
- tax-data completeness record,
- withholding/review checkpoint record,
- approval timestamps,
- Exception Case notes if any,
- payout batch reference,
- and any later correction, hold, offset, or clawback note.

Retention must follow POOOL's approved retention framework and any applicable legal, tax, audit, complaint, fraud, or investigation hold rules. **[LEGAL REVIEW REQUIRED]**

18. System and Control Requirements

Before launch, Product / Engineering must support:

- payout profile fields,
- tax profile fields,
- Recipient Class fields,
- tax-ready status,
- payout-ready status,
- payout-block status,
- exception flag,
- approval log,
- exportable audit trail,
- and finance ability to prevent release where tax review is incomplete.

19. Internal Escalation Triggers

Mandatory escalation should occur where:

- Recipient Class is unclear,
- foreign-recipient treatment is unclear,
- supporting tax/residency data is inconsistent,
- payout beneficiary mismatch exists,
- treaty issue may exist,
- payout was scheduled before tax clearance,
- repeated incomplete-file cases occur,
- year-end/reporting treatment is uncertain,
- or the case overlaps with a compliance freeze or payout dispute. **[LEGAL REVIEW REQUIRED]**

20. Review and Update

This SOP should be reviewed:

- before go-live,
- after pilot-stage payout learnings,
- when the payout provider or payout process changes,
- when Recipient Classes expand,
- when tax-handling assumptions change,
- and before full-scale payout automation. **[LEGAL REVIEW REQUIRED]**

Summary pages, dashboard notices, onboarding copy, and other user-facing convenience text do not amend this SOP unless POOOL expressly states otherwise in writing.

D. Final legal-review flags only

1. Final legal tax treatment and withholding mapping for each Recipient Class.
2. Final list of mandatory tax documents / data points per class.
3. Final treaty-sensitive review rules for foreign recipients.
4. Final beneficiary-mismatch rule and any restriction on third-party payout beneficiaries.
5. Final approval matrix for standard cases vs Exception Cases.
6. Final year-end / periodic reporting requirements and output format.
7. Final rule on post-payout correction, offset, and clawback interaction with tax handling.

8. Final retention periods for payout/tax files and Exception Cases.
9. Final treatment of cross-border payout restrictions or no-pay cases, if applicable.
10. Final interaction with compliance suspension / freeze states and whether those states independently block release.
11. Any jurisdiction-specific tax or reporting wording that counsel wants inserted directly into this SOP.

E. Readiness note for internal review, operational use, and legal review

This revised SOP is ready for:

- internal review,
- finance and operations workflow design,
- product/admin implementation planning,
- reporting and audit-readiness planning,
- and focused legal/tax review.

It is stronger than the current file because it keeps the same approved payout-tax control logic while turning the document into a cleaner standalone **finance/control SOP** rather than a mixed file containing the SOP plus onboarding copy, UI text, backend notes, and recommendation language. It remains consistent with the approved baseline and the already-audited Terms: no payout without complete payout and tax data, mandatory recipient classification, controlled withholding/review before release, and escalation instead of improvisation.